

UK Fintech: Emerging Growth 2021 Trends

Along with our friends at Deloitte, we've taken a look at the UK's fintech sector to explore emerging growth trends, which may be indicative of where the fintech industry is heading.

Cookiebot
by Usercentrics

Consent

Details

About

This website uses cookies

🍪 We use **cookies** to enhance your Beauhurst browsing experience. You can allow them all or manage them individually — it's completely up to you.

Customise >

Allow all

There was a healthy level of seed-stage investment for fintech in 2021, and examining these deals may be indicative of where the fintech industry is heading.

Here, we explore emerging subsectors such as ethical investing, financial inclusion, sustainability and internationalisation.



Here's a sneak-peek inside

100 FinTechs: European Venture Capital Investment

more than 100 deals were Bank of £20m

Investment in The European venture capital

100 FinTechs: European Venture Capital

Beahurst

Equity investment into fintech (2012-2021)

Volume of investment

Number of deals

Between 2012 and 2021, 496 equity deals worth £1.75b were raised by insurance firms – compared with technology to invest in the insurance industry. Unlike these firms also had a clear fintech focus, these deals are not reflected in this chart.

Year	Volume of investment (£m)	Number of deals
2012	133	104
2013	190	152
2014	497	286
2015	871	378
2016	830	440
2017	1,806	520
2018	1,816	551
2019	2,276	609
2020	2,989	617
2021	7,009	666

Top investors into fintech by number of equity deals (2021)

Seedrs	40
Crowdcube	30
Future Fund	16
Seed&Spark	8
Anthems	8
Speedinvest Fintech	6
Octopus Ventures	6
Tiger Global Management	5
SFC Capital	5
Molten Ventures	5
Lakestar	5
Augmentum Fintech	5
Access SIS	5
Accel	5

invest in younger and thus riskier businesses during the economic uncertainty of the pandemic, the number of equity deals in seed-stage fintechs matched the wider trend – a steady upward climb. In 2021 – the first year seed-stage fintech deals were more than 300 in number – funding rounds included £28m then £23.8m to challenger bank Monzo, £15.8m raised by buy-now-pay-later app Butler, and £18.5m secured by blockchain firm Aztec. By examining which fintech subsectors are gaining funding momentum, seed-stage deals are indicative of where the fintech industry may be heading.

In addition to crowdfunding platforms Seedrs and Crowdcube, the source of 14 and nine deals respectively, top investors in seed-stage fintechs in 2021 included London-based European venture capital fund Seed&Spark, and early-stage investment firm SFC Capital. Each participated in four separate equity deals. The Future Fund, backed by the British Business Bank, also supported three young fintechs to grow: Elite Capital and Management Services, Evision, and Sweep.

Volume of seed-stage investment

Number of deals

Year	Volume of seed-stage investment (£m)	Number of deals
2012	38	59
2013	39	63
2014	58	167
2015	77	206
2016	106	241
2017	140	264
2018	193	274
2019	188	289
2020	179	282
2021	312	302

"Fintech should be about making people's lives better, using technology in new ways to make financial services for all rather than for those that can afford it. It is a sector that has led on purpose-driven missions and it is welcoming to see that last year the funding momentum captures this across the sub-sectors spotlighted in this report."

With fintech being key to the levelling up agenda it is great to see that 174 equity deals were invested in UK fintech firms outside London in 2021."

Louise Brett,
Head of FinTech and Financial Services Innovation, Deloitte Europe

Deloitte

1

2

More leads, more clients, less churn.

First name*

Cookiebot

by Usercentrics

Consent

Details

About

This website uses cookies

We use cookies to enhance your Beahurst browsing experience. You can allow them all or manage them individually – it's completely up to you.

>

Products

BeahurstAdvise

BeahurstInvest

BeahurstImpact

BeahurstSales

API

Integrations

Research & Consultancy

Resources

Resource hub

Reports

Product tours

Customer stories

Newsletter

FAQ & Glossary

About

Pricing

Partnerships

Company

Careers

Contact

Data



[Data Policy](#)

[Privacy Notice](#)

[Terms & Conditions](#)

[Cookies](#)

[Cookie Settings](#)



Consent

Details

About

This website uses cookies

🍪 We use **cookies** to enhance your Beauhurst browsing experience. You can allow them all or manage them individually — it's completely up to you.

